

**BEFORE THE
FEDERAL MARITIME COMMISSION**

20230930-DK-BUTTERFLY-1, INC. f/k/a BED BATH &
BEYOND INC., *Complainant*,

v.

EVERGREEN LINE JOINT SERVICE AGREEMENT
(FMC#011982) consisting of EVERGREEN MARINE
CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK)
LIMITED, ITALIA MARITTIMA SpA, EVERGREEN
MARINE (HONG KONG) LTD., AND EVERGREEN
MARINE (SINGAPORE) PTE. LTD., *Respondents*.

DOCKET NO. 24-12

**MEMORANDUM OF LAW IN SUPPORT OF RESPONDENTS'
MOTION FOR PARTIAL DISMISSAL OF THE COMPLAINT**

Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corp.
(Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine
(Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. (collectively
“Respondents”), by and through the undersigned counsel, submit this Memorandum of
Law in Support of Respondents’ Motion for Partial Dismissal of the Complaint.

PRELIMINARY STATEMENT

Respondents move, pursuant to Rules 12(b)(1) and 12(b)(6) of the Federal Rules
of Civil Procedures (the “Federal Rules”), made applicable in this proceeding by the
Rule 12 of the Federal Maritime Commission’s (“FMC”) Rules of Practice and Procedure

(the “FMC Rules”)(46 C.F.R. 502.12), to dismiss those portions of the complaint which are based upon alleged breaches of the service contracts entered into between the parties. Respondents are not moving to dismiss that portion of the complaint asserting claims for allegedly improper demurrage and detention charges under the Shipping Act.

The claims asserted in Counts I, III and IV of the Complaint are inherently breach of contract claims based upon alleged breaches of the service contracts entered into by the parties. Those counts, however, fail to allege facts sufficient to support separate and distinct Shipping Act claims. Accordingly, Respondents move, pursuant to Rule 12(b)(1) of the Federal Rules, to dismiss Counts I, III and IV because “the exclusive remedy for breach of a service contract is an action in an appropriate court.” 46 U.S.C. 40502(f).

Although the facts alleged by Complainant may be sufficient to support a claim for breach of contract,¹ Counts I, III and IV of the Complaint fail to allege facts sufficient to state separate and distinct claims for relief under the Shipping Act and therefore should be dismissed pursuant to Rule 12(b)(6) of the Federal Rules as follows:

¹ Respondents do not admit that the Complaint is sufficient to support a claim for breach of contract or that Respondents’ breached their obligations under the service contracts. However, solely for purposes of this motion, the facts alleged by Complainant must be taken as true. *See* Legal Standard on Motion to Dismiss, *infra*.

(a) Count I of the Complaint fails to allege facts sufficient to support a claim that Respondents failed “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. 41102(c).

(b) Count III the Complaint fails to allege facts sufficient to support a claim that Respondents provided service in the liner trade that was “not in accordance with the rates, charges, classifications, rules and practices contained in . . . a service contract entered into,” which was beyond simply breaching the service contract. 46 U.S.C. 41104(a)(2)(A).

(c) Count IV of the Complaint fails to allege facts sufficient to support a claim that Respondents “unreasonably refused to deal or negotiate” with Complainant. 46 U.S.C. 41104(a)(10).

LEGAL STANDARD

In *Rahal Int’l Inc. v. Hapag-Lloyd AG*, Docket # 23-05, 2023 WL 8622031 (ALJ December 6, 2023), Administrative Law Judge (“ALJ”) Crovella set forth the legal standard on a motion to dismiss before the FMC as follows:

Commission Rule 12 states that the Federal Rule [sic] of Civil Procedure will be followed in instances that are not covered by the Rules, if consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering

dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, 2 F.M.C. 2d 198, 2020 WL 13512925 at *4 (FMC 2020).

“Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *Id.* at *5 (citing *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54, 2015 WL 9426189 (FMC 2015)). To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). “A claim has facial plausibility when the pleaded factual content allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009) (citing *Twombly*, 550 U.S. at 556).

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). However, “[w]hen there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676 at *2 (M.D. Tenn. 2014).

Rahal Int’l Inc., 2023 WL 8622031 at 3 - 4.

As explained below, Complainant herein fails to meet this standard.

ARGUMENT

POINT I

The FMC Does Not Have Jurisdiction to Adjudicate Claims for Breach of the Service Contracts

Congress has seen fit to remove from the FMC's jurisdiction the adjudication of claims for breaches of service contracts. Instead, Congress placed that authority in the courts by stating: "[u]nless the parties agree otherwise, the exclusive remedy for breach of a service contract is an action in an appropriate court." 46 U.S.C. § 40502(f). *See, Cargo One, Inc. v. COSCO Container Lines, Co.*, Docket No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961 (FMC Oct. 31 2000); *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 33 S.R.R. 512, 2014 WL 5316345 (ALJ April 17, 2014).²

In *Cargo One v. COSCO*, the Commission provided guidance in assessing which matters are properly before the FMC and which matters are outside of the FMC's jurisdiction and should be brought before a court:

We believe the more appropriate test is *whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed* unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast,

² Here, in the service contracts, the parties chose the United States District Court for the District of New Jersey as the venue for all disputes arising under the service contracts.

where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, 2000 WL 1648961 at 14 (footnote omitted)(emphasis added).

Under the Commission's *Cargo One* test, simply pleading facts in a complaint that support a breach of contract claim is insufficient to support a claim for violation of the Shipping Act before the FMC. Instead, in order for a complainant to plead a cognizable claim for violation of the Shipping Act before the FMC, the complainant must plead facts that "raise issues beyond contractual obligations" and involve "elements peculiar to the Shipping Act". *Id.* Absent such factual allegations the claims are outside of the subject matter jurisdiction of the FMC and the complaint must be dismissed. As shown below, Complainant has failed to meet its burden of pleading sufficient facts to support a claim, separate and distinct from its breach of contract claim, under the Shipping Act.

Throughout the Complaint, Complainant alleges that Evergreen breached its service contract commitments to Complainant by failing to meet the minimum quantity commitments and rates originally agreed to in the service contracts.³ As demonstrated below, "complainant's allegations are inherently a breach of contract claim". *Id.*

At Paragraph 24 of the Complaint, Complainant states:

³ The Complaint fails to acknowledge that the parties amended the service contracts, and filed those amendments with the FMC, on several occasions during the term of each of the service contracts.

Evergreen's practice alleged herein of systematically *failing to meet its service commitments* constitutes a failure by Evergreen to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

Compl. at ¶ 24 (emphasis added).

The Complaint is full of allegations which reflect breach of contract claims. As examples, the Complaint also alleges: "Evergreen has engaged in a practice of systematically *failing to meet its service commitments* to Complainant" (Compl. at ¶ 5, emphasis added); "Evergreen also engaged in a practice of coercing Complainant, and, upon information and belief, other shippers, to pay *extracontractual prices and surcharges*" (Compl. at ¶ 7, emphasis added); "Evergreen undertook a practice of systematically *failing to make cargo space available under both Service Contracts*" (Compl. at ¶ 34, emphasis added); "Evergreen's *failure to meet its service commitments* began shortly after the 2020 Service Contract went into effect" (Compl. at ¶ 36, emphasis added); "BBBY consistently reached out to Evergreen when its *allocations were short of the rate corresponding to the contractual MQC*"⁴ (Compl. at ¶ 39, emphasis added); "Evergreen's failures throughout the terms of Complainant's Service Contracts constituted a systematic practice of Evergreen *failing to fulfill its space commitments* to Complainant" (Compl. at ¶ 40, emphasis added); "Evergreen's actions

⁴ "MQC" is an abbreviation used for "minimum quantity commitment".

in deliberately *failing to honor its service commitments*" (Compl. at ¶ 44, emphasis added); "*failing to satisfy its service commitments . . . failing to provide Complainant with cargo space allocations equaling the MQCs specified in the Service Contracts*" (Compl. at ¶ 70, emphasis added); "Evergreen's *shortfalls in honoring its service commitments* during the 2020–2021 shipping year forced Complainant to secure alternative cargo space on the open market at high prices" (Compl. at ¶ 73, emphasis added); "Evergreen's *shortfalls in honoring its service commitments* during the 2021–2022 shipping year forced Complainant to secure alternative cargo space on the open market at high prices" (Compl. at ¶ 74, emphasis added). As shown above, the Complaint is replete with references to breaches of the service contracts and relies upon those alleged contractual breaches to support purported Shipping Act claims.

In *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Chief ALJ Guthridge was faced with a similar complaint, based upon alleged breaches of service contracts and dismissed portions of the complaint. Explaining his reason for dismissing one portion of the complaint, Chief ALJ Guthridge stated:

The questions of whether Global Link and Hapag-Lloyd, through their course of dealing in the earlier service contracts, intended "that rates provided for in the Service Contract would be adjusted upward and downward as necessary in order to remain competitive in the frequently fluctuating ocean transportation market" and, if so, whether Hapag-Lloyd breached its duty to reduce the rates, do not "involve elements peculiar to the Shipping Act," *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. at 1645, but are inherently contract claims - questions of fact and

interpretations of the service contract - that the Act and the 2012 Service Contract require to be answered by an arbitrator. 46 U.S.C. § 40502; Hapag-Lloyd Boiler Plate ~ 15. The other issues raised in the Complaint (i.e., "due to administrative errors and untimely corrections from Hapag's contract processing center, Global Link had been unable to book with Hapag at times due to service contract mistakes and delays, which made it physically impossible to book with Hapag" (Complaint ~ IV'x); alleged failure to provide adequate administrative support, *alleged reduction under the service contract, alleged failure to address the MQC shortfall under the service contract*, see Complaint ~ IV.GG) *are also inherently contract claims reserved for the arbitrator and are not within the Commission's jurisdiction to decide.*

Global Link Logistics, 2014 WL 5316345 at 20.

Later in his decision, Chief ALJ Guthridge dismissed another portion of the complaint. That portion of the complaint alleged it was not just and reasonable for Hapag Lloyd to reduce Global Link's allocation of space on its vessels. Chief ALJ Guthridge found that those allegations were "inherently contract issues reserved for the arbitrator" and dismissed that portion of the complaint as well. *Id.* at 30.

Even the damages sought by Complainant in the Complaint herein (and the method of their calculation) are typical of those sought in contract actions. The breach of contract damages Complainant is seeking are: (I) the additional cost allegedly paid for substitute space to replace the alleged shortfall in MQC originally agreed to in the service contracts; (ii) alleged lost profits for the containers not shipped due to the alleged shortfall in MQC originally agreed to in the service contracts; and (iii) additional

amount paid to Evergreen for containers shipped with Evergreen at rates that were higher than the rates originally agreed to in the service contracts.

The consistent refrain throughout the Complaint is that Evergreen failed to comply with its contractual obligations under the service contracts and that Complainant consequently suffered breach of contract damages. These allegations in the Complaint are, as the Commission stated in *Cargo One*, “allegations essentially comprising contract law claims [and] should be dismissed.” *Cargo One*, 2000 WL 1648961 at 14.

Because Counts I, III and IV of the Complaint assert breach of contract claims and not Shipping Act claims, they should be dismissed for lack of subject matter jurisdiction pursuant to Rule 12(b)(1) of the Federal Rules.

POINT II

Count I of the Complaint Fails to Allege Facts Sufficient to Support a Claim for Relief Under § 41102(c) of the Shipping Act

The Shipping Act, at 46 U.S.C. § 41102(c), provides as follows:

- (c) Practices in Handling Property
A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 U.S.C. § 41102(c).

The Code of Federal Regulations provides guidance as to the elements that must be proven in order to prevail on a claim for reparations under 46 U.S.C. § 41102(c) as follows:

§ 545.4 Interpretation of Shipping Act of 1984 - Unjust and unreasonable practices.

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Thus, in order to assert a cognizable claim for which relief may be granted under 46 U.S.C. § 41102(c) of the Shipping Act, Complainant must make sufficient factual allegations which, if taken as true, establish each of the elements set forth in 46 C.F.R. § 545.4 above. Complainant has failed to make sufficient factual allegations to meet its burden.

First, the Complaint fails to identify what practices or regulations (other than Respondents' alleged breach of the service contracts) Complainant alleges were unfair or unjust. Without identifying an improper practice (other than the alleged breach of

the service contracts) Complainant has failed to assert a cognizable claim under 46 U.S.C. § 41102(c).

Second, the Complaint fails to allege facts to support the requirement that the “claimed acts or omissions of the regulated entity *are occurring on a normal, customary and continuous basis.*” 46 C.F.R. 545.4(b)(emphasis added).

The Complaint states: “Evergreen’s conduct alleged herein . . . *occurred on a normal and customary basis*”. Compl. at ¶ 12 (emphasis added). Notwithstanding that conclusory statement, the Complaint acknowledges that the events at issue did not occur during normal times in the shipping industry but, instead, occurred during the “COVID-19 pandemic [which] caused unprecedented challenges to trade and the global economy.” Compl. at ¶ 4. Thus, the alleged misconduct did not occur on a normal basis, it occurred at a time when Respondents faced unprecedented challenges. In addition, as previously stated, the conduct alleged in the Complaint is Evergreen’s alleged breach of contract due to its failure to meet its service commitments under the service contracts, as distinguished from unfair or unjust practices and regulations in violation of the Shipping Act.

Moreover, the Complaint does not even allege that the acts or omissions complained of are occurring on a continuous basis. And, there are no factual allegations that would support a conclusion that the acts or omissions complained of “are occurring on a . . . continuous basis.” 46 C.F.R. § 545.4(b).

Third, the Complaint fails to make factual allegations that support the required element that “the practice or regulation is unjust or unreasonable.” 46 C.F.R. 545.4(d). Instead, Complainant offers only conclusory statements in support of this element.

As Administrative Law Judge Crovella noted “[a] pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555).” *Rahal Int’l Inc.*, Docket # 23-05 (FMC December 6, 2023) at page 4. Thus, Complainant’s conclusory allegations are not facts sufficient to support this essential element which is required to maintain a claim under 46 U.S.C. § 41102(c).

In *Yakov Kobel v. Hapag-Lloyd A.G.*, Docket No. 10-06, 2013 WL 9808671 (FMC July 12, 2013), the Commission also noted:

When analyzing whether a common carrier’s . . . regulations and practices are just and reasonable, it is relevant to consider the course of conduct of other common carriers . . . under similar circumstances.

Yakov Kobel, 2013 WL 9808671 at 9. Here, the time period at issue was a time of great disruption, high demand and severely limited effective capacity throughout the industry due to the COVID-19 pandemic.

According to the Complaint, “in its 2021 Annual Report Evergreen stated that ‘[a]ffected by the epidemic, the major ports around the world are suffered [sic] shortage of labor forces and container equipment, poor terminal operation efficiency and port

congestion, *resulting in the reduction of effective fleet capacity and an imbalance between supply and demand*, thereby seriously impairing the global industrial and logistics.’” Compl. at ¶ 58 (emphasis added). The Complaint alleges that “In its 2022 Annual Report, Evergreen reported that port congestion continued to cause challenges in the handling and transport of containers, stating ‘[a]ffected by the epidemic, terminal and ports congestion, the effective market capacity reduction, coupled with difficulties in intermodal logistics operations, *the shipping industry is facing shortages in manpower, shipping capacity and container equipment.*’” Compl. at ¶ 58 (emphasis added).

In the Complaint, Complainant also admits that “Evergreen as a carrier was not alone in breaching its service commitments since the onset of the COVID-19 pandemic and Complainant is not the only shipper to have suffered from such misconduct.” Compl. at ¶ 6. Again, this is a breach of contract allegation. But, it also is an allegation that supports the conclusion that Evergreen’s actions, under the extraordinary circumstances being faced throughout the industry at that time due to COVID-19, were reasonable in light of the actions of other carriers.

Indeed, Complainant alleges similar Shipping Act claims against other carriers arising during the same time period which are presently pending before the FMC. This fact alone establishes that other carriers, according to Complainant, conducted themselves in a similar manner during the COVID-19 pandemic.

Finally, the Complaint fails to demonstrate that the unnamed practice or regulation that allegedly was unjust and unreasonable was “the proximate cause of the claimed loss.” 46 C.F.R. § 545.4(e). In fact, it was the COVID-19 pandemic, the resulting turmoil throughout the industry and the effective reduction in market capacity, that was the proximate cause of any claimed loss by Complainant.

The issue at hand is whether Complainant makes sufficient factual allegations which, if taken as true, establish a claim for relief under 46 U.S.C. 41102(c). Based upon the foregoing, it is clear that the Complaint fails to allege facts to support *all* of the elements required to maintain a claim under 46 U.S.C. § 41102(c). Accordingly, Count I of the Complaint should be dismissed for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6) of the Federal Rules.

POINT III

Count III of the Complaint Fails to Allege Facts Sufficient to Support a Claim for Relief Under § 41104(a)(2)(A) of the Shipping Act

During the period covered by the Complaint’s allegations, the Shipping Act, at 46 U.S.C. § 41104(a)(2)(A), provided, in relevant part, as follows:

- (a) In General – A common carrier, either acting alone or in conjunction with any other person, directly or indirectly, may not –
 - (2) provide service in the liner trade that is –
 - (A) not in accordance with the rates, charges, classifications, rules and practices contained in

a tariff published or a service contract entered into under Chapter 405 of this title . . .

46 U.S.C. § 41104(a)(2)(A).⁵

Notwithstanding the foregoing, 46 U.S.C. § 40502(f), expressly provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” Accordingly, 46 U.S.C. 41102(a)(2)(A) cannot be used to transform a claim for breach of a service contract into a Shipping Act violation that can be brought before the FMC. To do so would eviscerate the exclusive remedy provision of 46 U.S.C. 40502(f).

As previously discussed, under the Commission’s *Cargo One* test, simply pleading facts in a complaint that support a breach of contract claim is insufficient to support a claim for violation of the Shipping Act before the FMC. Instead, the complainant must plead facts that “raise issues beyond contractual obligations” and involve “elements peculiar to the Shipping Act”. *Cargo One*, 2000 WL 1648961 at 14.

Here, Complainant has not pled facts that raise issues beyond contractual obligations or facts that involve elements peculiar to the Shipping Act. Complainant is attempting to transform its breach of contract claim into a Shipping Act violation by alleging that Evergreen failed to provide service in accordance with its service contracts

⁵ After the events at issue in this proceeding, the Ocean Shipping Reform Act of 2022 modified the text in 46 U.S.C. § 41104(a) from “may not” to “shall not.” Public Law No. 117-146 (06/16/2022) at p. 1274.

in violation of 46 U.S.C. § 41104(a)(2)(A). Accordingly, Count III of the Complaint should be dismissed for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6) of the Federal Rules.

POINT IV

Count IV of the Complaint Fails to Allege Facts Sufficient to Support a Claim for Relief Under § 41104(a)(10) of the Shipping Act

During the period covered by the Complaint's allegations, the Shipping Act, at 46 U.S.C. § 41104(a)(2)(A), provided, in relevant part, as follows:

- (a) In General – A common carrier, either acting alone or in conjunction with any other person, directly or indirectly, may not –
 - (10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier;

46 U.S.C. § 41104(a)(10).⁶

In *Global Link*, Chief ALJ Guthridge stated:

To prove a violation of section 41104(10), . . . a complainant must establish that the common carrier unreasonably refused to deal or negotiate with the complainant. "This requires a two-part inquiry: whether [the common carrier] refused to deal or negotiate, and, if so, whether its refusal was unreasonable." *Canaveral Port Auth. - Possible Violations of Section J O(b)(J 0), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436, 1448 (FMC 2003).

⁶ After the events at issue in this proceeding, the Ocean Shipping Reform Act of 2022 changed the text in 46 U.S.C. § 41104(a) from "may not" to "shall not." Public Law No. 117-146 (06/16/2022) at p. 1274.

A refusal to deal or negotiate is not on its own a violation of the Shipping Act. We must also determine whether the refusal was unreasonable. *Cf. Petchem, Inc. v. Federal Maritime Comm'n*, 853 F.2d [958, 963] (D.C. Cir. 1988) ("The Shipping Act clearly contemplates the existence of permissible preferences or prejudices.").

Id. "Refusals to deal or negotiate are factually driven and determined on a case-by-case basis." *Id.* at 1449.

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA. All that is required is that common carriers ... refrain from "shutting out" any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), *aff'd*, 29 S.R.R. 1066, 1070 (FMC 2002).

Global Link, 2014 WL 5316345 at 16 - 17.

Here again, the Complaint is deficient. The Complaint fails to contain factual allegations to support the statutory requirement that the carrier "unreasonably refuse[d] to deal or negotiate" with Complainant. 46 U.S.C. § 41104(a)(10). In contrast, the Complaint is replete with statements indicating that the Respondents did, in fact, negotiate with the Complainant.

To begin with, the mere fact that Respondents entered into the service contracts with Complainant belies the contention that Respondents "unreasonably refuse[d] to

deal or negotiate” with Complainant. *Id.* Next, although glaringly absent from the Complaint, Respondents and Complainant agreed to several amendments to the service contracts, which amendments were filed with the FMC. Each of those amendments represented a negotiated agreement between the parties.

In addition, statements in the Complaint demonstrate that Respondents actively negotiated with Complainant.⁷ The Complaint includes the following: “Evergreen employee Abdel El-Hely wrote to BBBY: ‘I know we briefly discussed a possibility of a voluntary rate increase, do you have any proposed number we can provide Taipei HQ with?’” (Compl. at ¶ 48); “In another email within the same exchange, Mr. El-Hely wrote, ‘[r]ight now there are many accounts requesting increases ranging from \$1200-\$2000 voluntary till the end of December 2020. There are also some Top 500 accounts pushing Taipei for FAK levels + \$1000 for their rates.’” (Compl. at ¶ 48); “Evergreen employee Abdel El-Hely wrote to a BBBY employee, ‘Taipei is asking if it’s OK to move the PSS from your notes section into your rates section.’” (Compl. at ¶ 49); “Evergreen employee Abdel El-Hely stated, ‘there is no way that we can provide MQC / 52 right now especially with the current market situation. The 2500 TEU we signed for. . . . we will definitely try to get as close as possible to by end of contract season, but for right

⁷ It should be noted that the way in which portions of e-mails were used in the Complaint may provide distorted views of actual communications. In the event that the Complaint survives this motion to dismiss, the record will be clarified at a later date.

now with the current container shortage in certain ports and space situation we will try to do as much above forecast as possible.” (Compl. at ¶ 50); “Evergreen employee Abdel El-Hely disclosed . . . ‘[t]here is no rate that is required (you have rates in the contract) but most people are taking \$7-8000 premiums to the West Coast currently to really stay below market level but above the older signing levels.’ When BBBY asked, “[a]re you saying that we have to pay \$7-8K above our contract rates to get space on this XL?” Mr. El-Hely replied, “[n]o there is no requirement it’s optional, most accounts are paying those levels at minimum for west coast.” (Compl. at ¶ 52).

Complainant may not have been happy with the positions Evergreen was forced to take due to the effective capacity reductions brought on by the COVID-19 pandemic, but a shipper’s disappointment with the carrier’s position in negotiations does not equate to a refusal to deal or negotiate by the carrier. *See Global Link*, 2014 WL 5316345 at 17.

As demonstrated above, the Complaint fails to allege facts sufficient to support a claim for relief under 46 U.S.C. § 41104(a)(10). Accordingly, the Count IV of the Complaint should be dismissed for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6) of the Federal Rules.

CONCLUSION

For the foregoing reasons, Respondents' Motion for Partial Dismissal of the Complaint should be granted, dismissing Count I, Count III and that portion of Count IV that is based upon Respondents' alleged breaches of the service contracts.

Dated: Red Bank, New Jersey
March 18, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify, under penalty of perjury, that on this 18th day of March, 2024, the foregoing Memorandum of Law in Support of Respondents' Motion for Partial Dismissal of the Complaint was served via electronic mail on:

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